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02

Understanding Economics and How it Affects Business



Learning Objective

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Part 1. Explain basic economics

Part 2. Explain economic system: free market economies

Part 3. Explain economic system: command economies and mixed economies

Part 3. Explain fiscal and monetary policy

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The Major Branches Of Economics

Economics --

- *The study of **how society employs resources** to produce goods and services for consumption among various groups and individuals.*

Macroeconomics --

- *Concentrates on the operation of a **nation's economy as a whole**.*

Microeconomics --

- *Concentrates on the **behavior of people** and organizations **in markets** for particular products or services.*

Creating a Wealthy Economy

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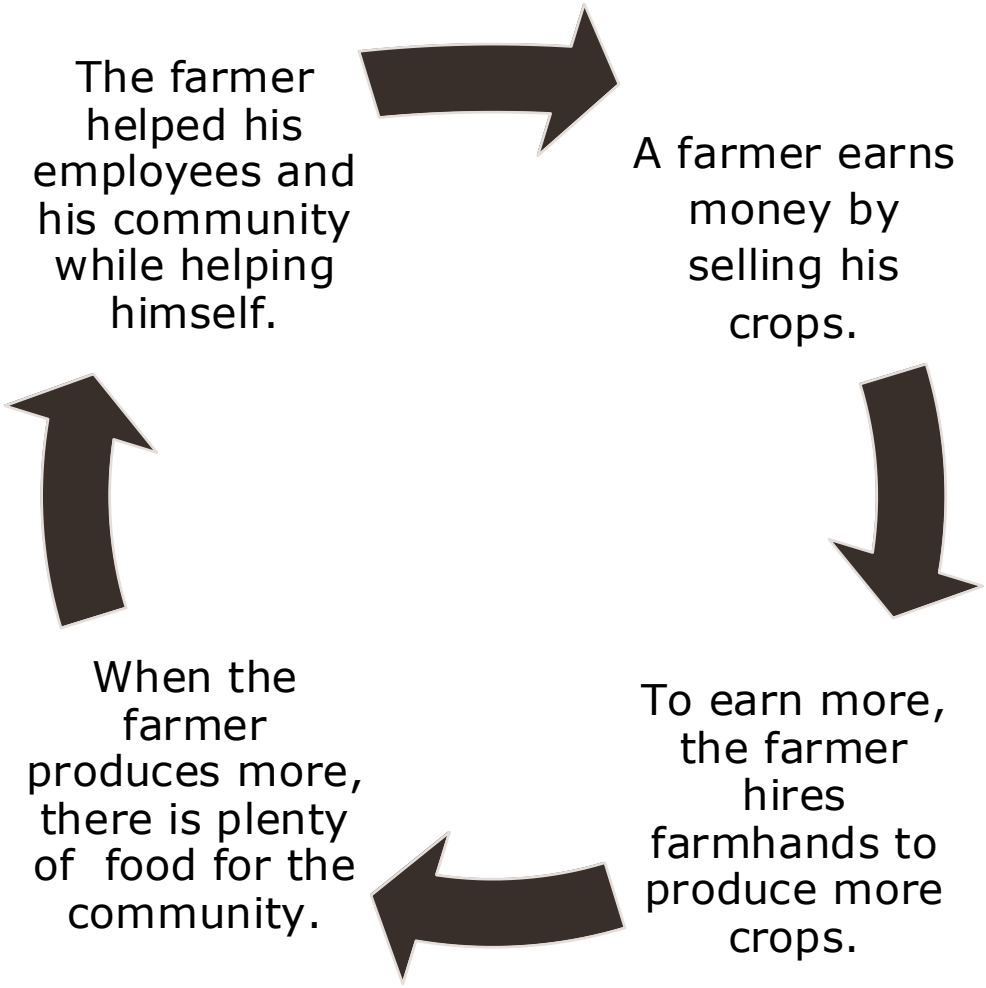
- Thomas Malthus believed that **if the rich had most of the wealth and the poor had most of the population, resources would run out**.
  - Neo-Malthusians believe there are too many people in the world and believe **the answer is radical birth control**.

- However, some economists believe **a large population (especially, an educated one, can be a valuable resource).**
  - For example, business owners provide jobs and economic growth for their employees and communities

How Business Benefit the Community

As entrepreneurs improve their own situation in life, they **help the economy prosper through the production of goods, services and ideas**.

Invisible Hand -- When self-directed gain leads to social and economic **benefits for the whole community**.



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Two Major Economic Systems



Free-Market Economies

- *The **market** largely determines what goods and services are produced, who gets them, and how the economy grows.*
- The popular term for this system is **CAPITALISM**

Command Economies

- *The **government** largely determines what goods and services are produced, who gets them, and how the economy will grow.*
- ***SOCIALISM & COMMUNISM** are variations on this economic system*

Understanding Free-Market Capitalism

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- *The economic system that has led to wealth creation in much of the world*
- *All or most of the land, factories and stores are **owned by individuals, not the government**, and operated for profit.*

4 Basic Right of Capitalism -

Own private property.

Own a business and keep all that business's profits.

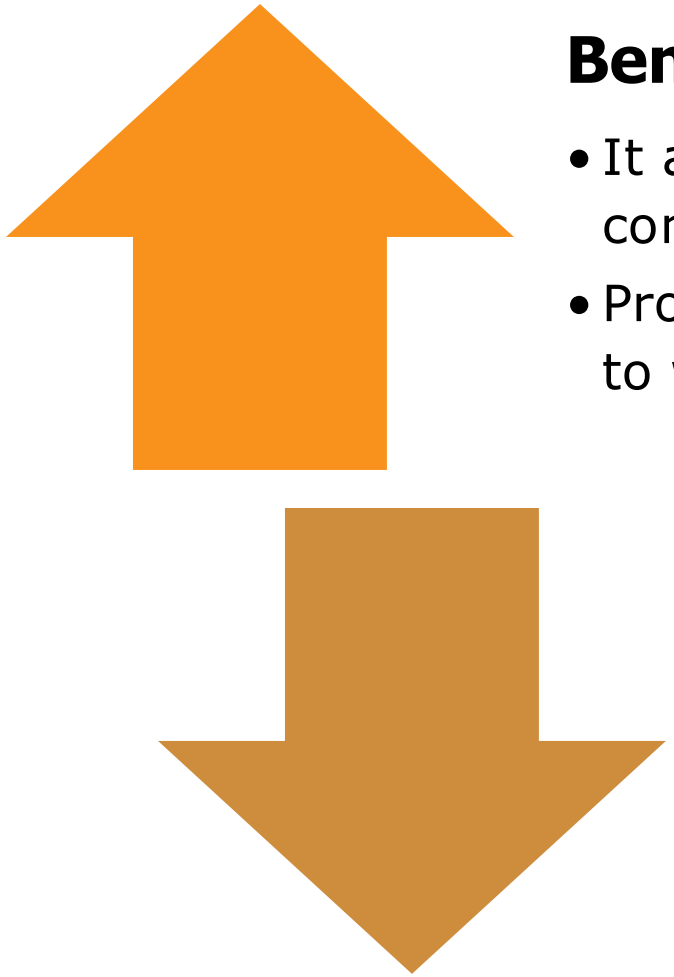
Freedom of competition.

Freedom of choice.

When offered the basic rights of capitalism, **people are willing to take more risks** than they might otherwise

Free Market Benefits and Limitations

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Benefits:

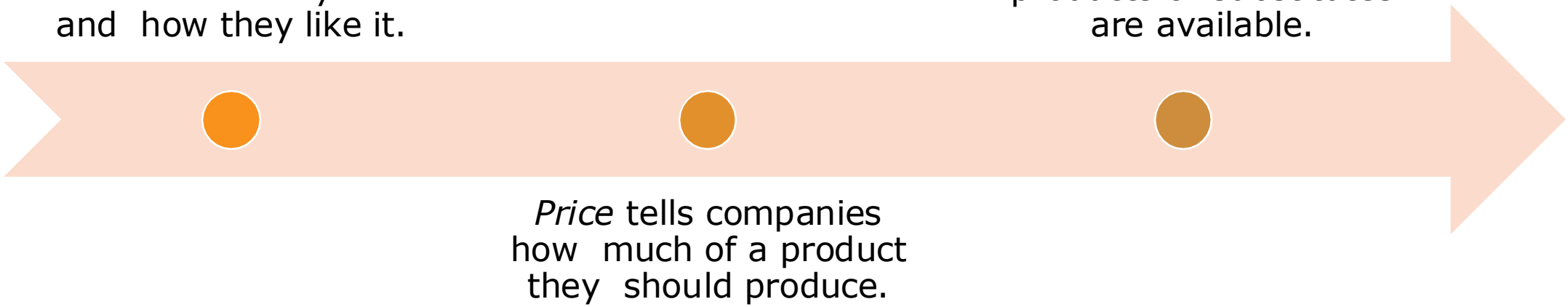
- It allows for open competition among companies.
- Provides opportunities for poor people to work their way out of poverty.

Limitations:

- People may start to let greed drive them.
- Income Inequality

How Free Markets Work

- In free market, d*ecisions about what and how much to produce are made by the market.*



How Prices Are Determined

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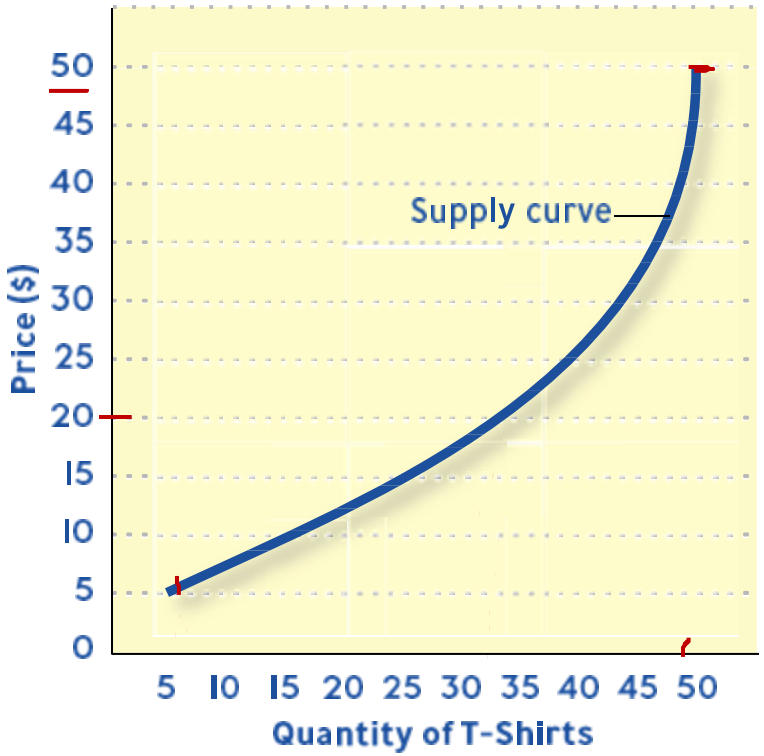
- In free market, prices are not determined by sellers, but negotiated by seller and buyer in the marketplace
  - A seller may want to sell shirts for $50, but only a few people may buy them at that price.
  - If the seller lowers the price to $30, more people buy the shirts.
  - The seller establishes a price of $30 based on what consumers are willing to pay.
  - **This is the microeconomic concepts of supply and demand**

Supply and Demand Curves

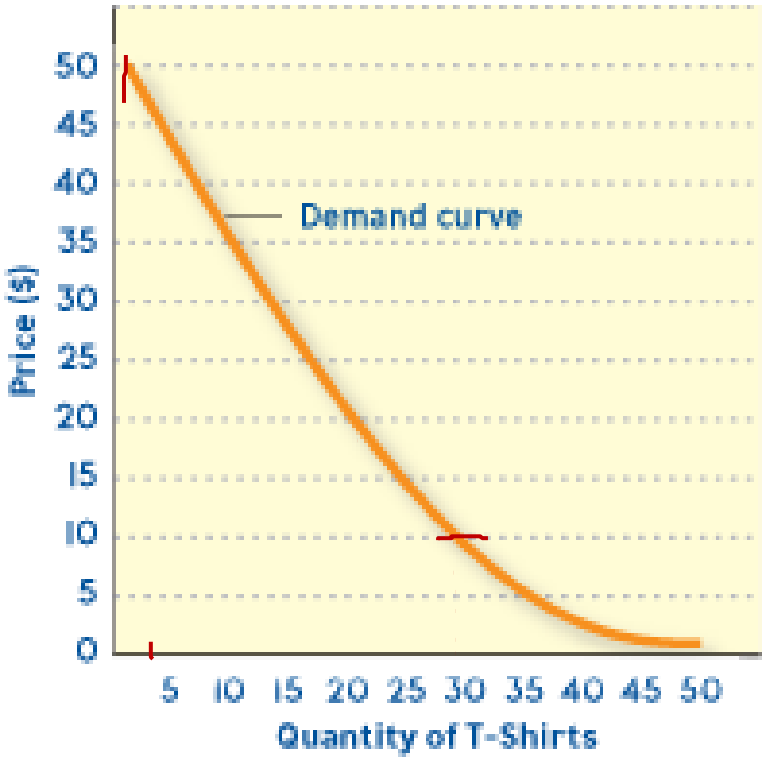
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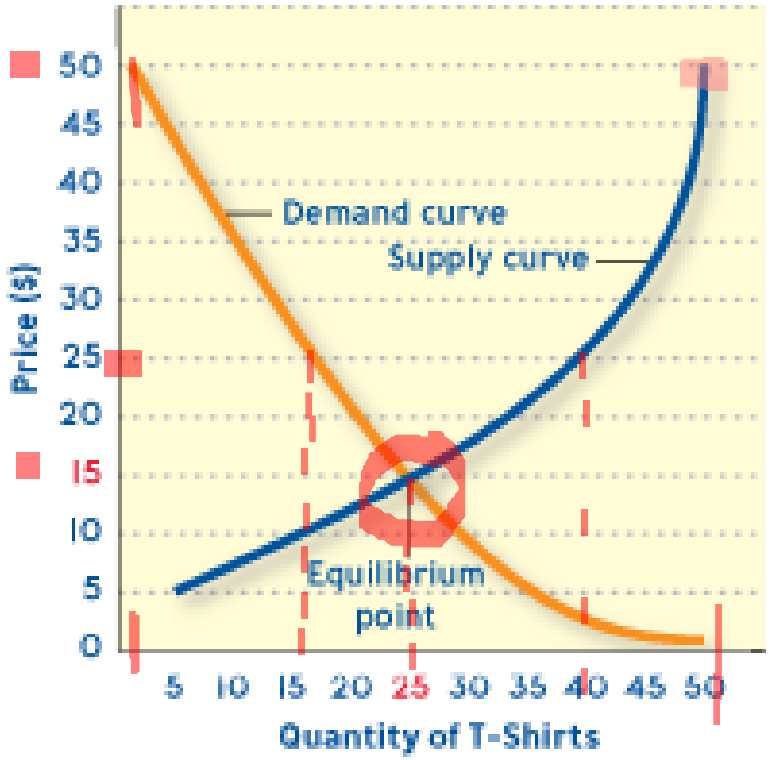
- **Supply --** *The quantities of products businesses are willing to **sell** at different prices.*



- **Demand --** *The quantities of products consumers are willing to **buy** at different prices.*



Market Price / Equilibrium Point



Determined by supply and demand, this is the negotiated price.

Competition Within Free Market

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FOUR DEGREES OF COMPETITON

Perfect Competition	**Monopolistic Competition**	**Oligopoly**	**Monopoly**
Many sellers in a market and none is large enough to dictate the price of a product	A large number of sellers produce very similar products that buyers nevertheless perceive as different. Here, product differentiation is a key to success	A degree of competition in which just a few sellers dominate the market	A degree of competition in which only one seller controls the total supply of a product and sets the price

Socialism & Communism

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- **Socialism --** *An economic system based on the premise that* ***some basic businesses, like utilities, should be owned by the government*** *in order to more* ***evenly distribute profits among the people***.
- It does not advocate that all private property ownership be eliminated, but rather that the gap should be narrowed down, preventing accumulation.
- Government is more involved in protecting the environment and the poor.

- **Communism --** *An economic and political system in which the government makes* ***almost all economic decisions*** *and owns almost all the major factors of production.*
- Most communist countries today suffer severe economic depression and citizens fear the government.

Socialism



Benefits of Socialism

- Social equality
- Free education
- Free healthcare
- Free childcare
- Longer vacations
- Shorter work weeks



Negative Consequences

- Few incentives for businesspeople to take risks.
- Higher tax. Thus, *some of a country's best and brightest workers (i.e. doctors, lawyers and business owners) move to capitalistic countries* >> **Brain Drain**
- Fewer inventions and innovations because the reward is not as great as in capitalistic countries.

The Trend toward Mixed Economies

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Mixed Economies -- *Some allocation of resources is made by the market and some by the government.*

Neither free-market nor command economies have created sound economic conditions so countries use a mix of the two economic systems.

- Socialism and communism haven't always created enough jobs or wealth to keep economies growing fast enough. Thus:
- Communist governments are disappearing
- Socialist governments are cutting back on social programs, lowering taxes and moving toward capitalism
- Capitalist countries are increasing social programs and moving more toward socialism.

Indonesia Economic System

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GDP (Gross Domestic Product)

- *Total value of final goods and services produced in a country in a given year. As long as a company is within a country's border, their numbers go into the country's GDP (even if they are foreign-owned).*

The Unemployment Rate

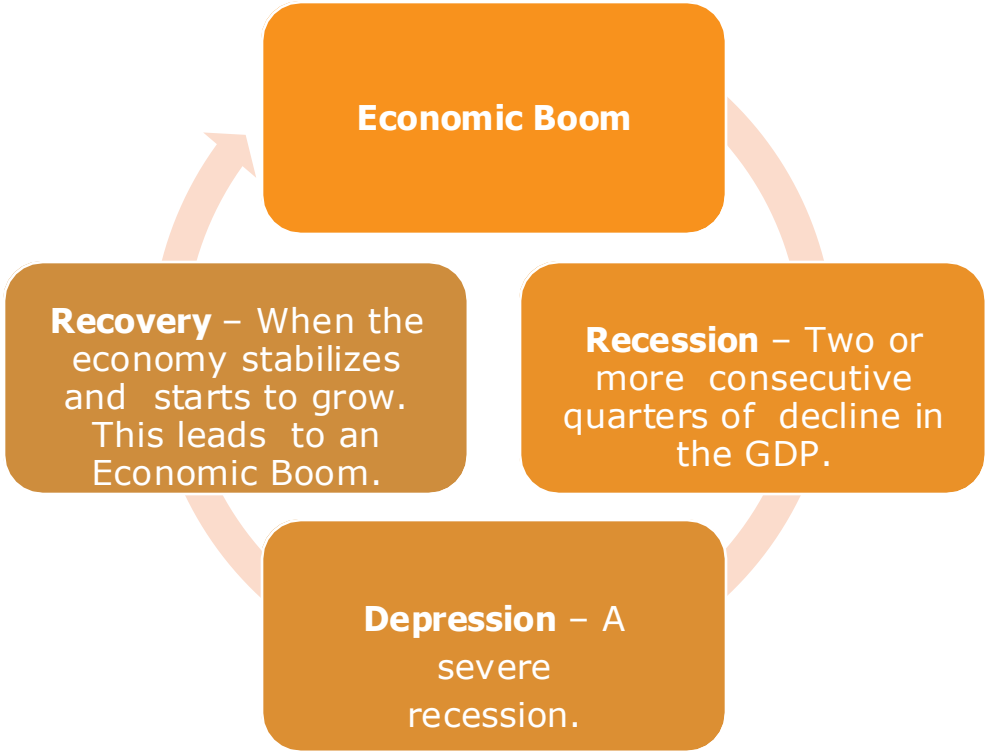
- *The percentage of civilians at least 16-years-old who are unemployed and tried to find a job within the prior four weeks.*
- **Four Types of Unemployment**
  - Frictional
  - Structural
  - Cyclical
  - Seasonal

Inflation and Price Indexes

- ***Inflation*** **--** *The general rise in the prices of goods and services over time.*
- **Disinflation --** *When the price increases are slowing (inflation rate declining).*
- **Deflation --** *Prices are declining because too few dollars are chasing too many goods.*
- **Stagflation --** *Economy is slowing, but prices are going up.*

Business Cycles

- **Business Cycles --** *Periodic rises and falls that occur in economies over time.*
- **Four Phases of Long-Term Business Cycles:**



Stabilizing The Economy Through Fiscal Policy

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Fiscal Policy -- *The federal government's efforts to keep the economy stable by* ***increasing or decreasing taxes or government spending****.*

Tools of Fiscal Policy	
Taxation	High tax rates tend to slow the economy because they draw money away from the private sector and put it into the government. Also, high tax rates may discourage small-business ownership
Government Spending	Controlling the spending on highways, social programs, education, etc.

Using Monetary Policy To Keep The Economy Growing

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- **Monetary Policy --** *The management of the money supply and interest rates by Bank Indonesia.*

- **Bank Indonesia's most visible role is increasing and lowering interest rates.**
  - When the economy is **booming**, BI tends to **increase interest rates**.
  - When the economy is in a **recession**, the BI tends to **decrease the interest rates**.

References

Nickels, W. G., McHugh, J. M., & McHugh, S. M. (2024). Understanding business. *Understanding Economics and How it Affects Business (pp 26-53)*. Boston: McGraw-Hill.

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03

Demanding Ethical and Socially Responsible Behaviour



Learning Objective

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Part 1. Facing potentially unethical action

Part 2. Managing ethical business

What Are Ethics?

- **Ethics --** *The standards of moral behavior. Behaviors that are accepted by society as right versus wrong.*
- Studies found a strong relationship between academic dishonesty and dishonesty at work.

When facing ethical dilemma, ask yourself these questions:

- Is it legal?
- Is it balanced?
- How will it make me feel about myself?

Managing Business Ethically

- Organizational ethics **begin at the top**.
- Managers can help instill corporate values in employees.
- Trust between workers and managers must be based on fairness, honesty, openness and moral integrity.

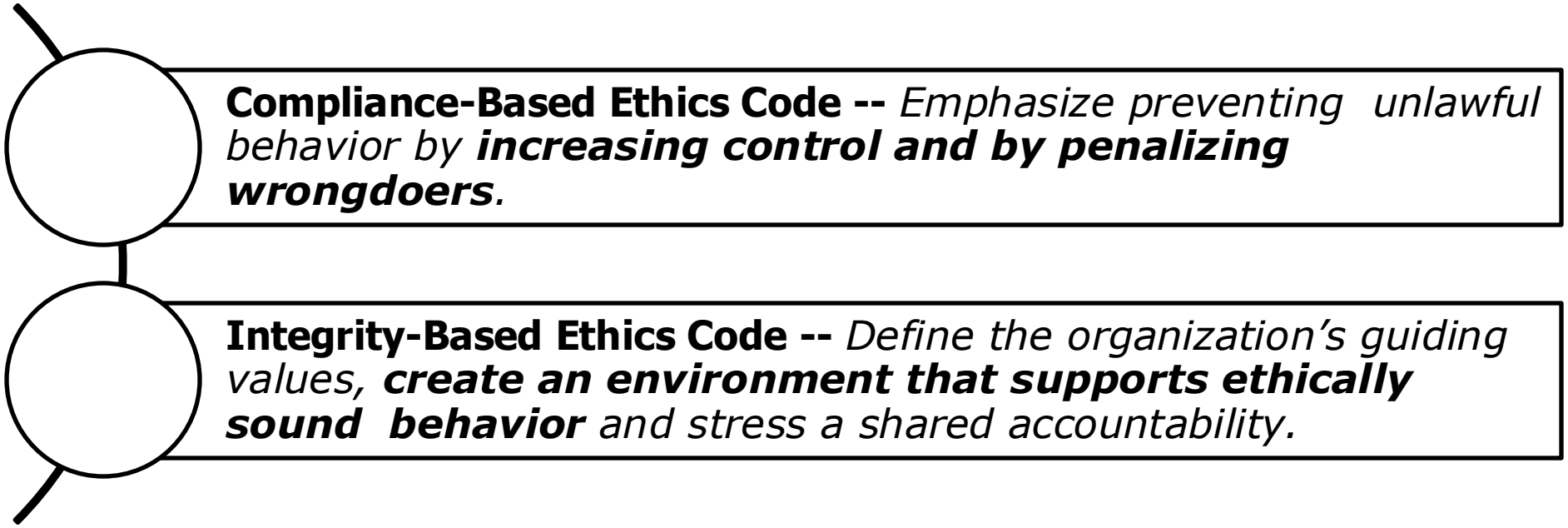
Factors influencing managerial ethics

Individual	Organizational	Environmental
• Values • Work Background • Family Status • Personality	• Top Level Management Philosophy • Firm's Reward System • Job Dimensions	• Competition • Economic Conditions • Social/Cultural Institutions

Setting Corporate Ethical Standards

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- An increasing number of companies have adopted written codes of ethics.



Important: An ethics office must be set up with which employees can communicate anonymously. **Whistleblowers** (*insiders who report illegal or unethical behaviour*) must feel protected from retaliation.

Corporate Social Responsibility

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- **Corporate Social Responsibility (CSR) --** *The concern businesses have for the welfare of society.*

The social performance of company has several dimensions:

Corporate Philanthrop	Corporate Social Initiatives	Corporate Responsibility	Corporate Policy
Includes charitable donations.	*Include enhanced forms of corporate philanthropy.* *Usually are more related to the company's competencies*	*Includes everything from hiring minority workers to making safe products, minimizing pollution, using energy wisely, and providing a safe work environment.*	*The position a firm takes on social and political issues.*

Responsibility to Stakeholders

Investor	• **Insider Trading --** *Insiders using private company information to further their own fortunes or those of their family and friends.*
Employee	• Create jobs and provide a chance for upward mobility • Treat employees with respect.
Customer	• The Right to be Informed • The Right to be Heard • The Right to Choose
Society & Environment	• Global warming • Fair Trade

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Social Auditing

Can we measure whether organizations are making social responsibility an integral part of top management's decision making?

YES!

Social Audit –

A systematic evaluation of an organization's progress toward implementing socially responsible and responsive programs.

Five Types of Watchdogs

1) *Socially conscious investors*
2) *Socially conscious research organizations*
3) *Environmentalists*
4) *Union officials*
5) *Customers*

References

Nickels, W. G., McHugh, J. M., & McHugh, S. M. (2024). Understanding business. *Demanding Ethical and Socially Responsible Behaviour (pp 88-111)*. Boston: McGraw-Hill.